

Exercise 1: Financial statements fundamentals (I)

Exercise 1.1: Share capital

In 2021, Bijoux, Inc. sold 35,000 shares of the 1,500,000 shares of \$1 par value common stock it is allowed to sell. The shares sold for \$8 each. Bijoux bought back 4,000 shares of its stock at a cost of \$6 each. Bijoux declared and paid a \$0.20 per share dividend to its common shareholders. Bijoux has no preferred stock.

1.	The number of shares of common stock authorized is:	shares
2.	The number of shares of common stock issued is:	shares
3.	The number of shares of common stock outstanding is:	shares
4.	Total dividends paid for the year ended December 31, 2021 is:	\$
5.	Common stock balance at December 31, 2021 is:	\$
6.	Additional paid-in capital balance at December 31, 2021 is:	\$
7.	Treasury stock balance at December 31, 2021 is:	\$

Answer 1.1:

1. **1,500,000** shares
2. **35,000** shares
3. $35,000 - 4,000 = \mathbf{31,000}$ shares
4. $31,000 \text{ shares} \times \$0.20 = \mathbf{\$6,200}$
5. $35,000 \text{ shares} \times \$1 \text{ par} = \mathbf{\$35,000}$
6. $35,000 \text{ shares} \times (\$8 - 1 \text{ par}) = \mathbf{\$245,000}$
7. $4,000 \text{ shares} \times \$6 = \mathbf{\$(24,000)}$

Exercise 1.2: Stocks and dividends payment

Match each of the following items with its appropriate definition. Each item should be used only once.

- a. noncumulative preferred stock
- b. dividends
- c. payment date
- d. declaration date
- e. preferred stock
- f. cash dividends
- g. date of record
- h. cumulative preferred stock
- i. dividends in arrears
- j. treasury stock

- _____ 1. Type of corporate stock that has preference rights over common stock
- _____ 2. Corporate distribution of earnings to the shareholders of the corporation
- _____ 3. A distribution of earnings in the form of cash to the shareholders of a corporation
- _____ 4. Date when the board of directors of a corporation authorizes the payment of dividends to the shareholders of the corporation

- _____ 5. Date used to determine which shareholders should receive dividends; anyone owning stock on this date is entitled to receive dividends
- _____ 6. Stock of a corporation that has been issued and has been repurchased by the issuing corporation.
- _____ 7. Date when cash dividends are actually paid to shareholders of a corporation.
- _____ 8. Stock on which the fixed dividend amount accumulates from year to year; the entire amount of all past unpaid dividends must be paid to the preferred shareholders before any dividends can be paid to the common shareholders
- _____ 9. Any dividends owed to the preferred shareholders from past years, but were not declared and are currently unpaid
- _____ 10. Preferred stock that is not entitled to receive past, unpaid dividends

Answer 1.2. 1e, 2b, 3f, 4d, 5g, 6j, 7c, 8h, 9i, 10a

Exercise 1.3. Net Assets vs. Equity

- 1.3. At the beginning of the current fiscal year, ELIQUA Co.'s balance sheet showed assets of \$814,500 and liabilities of \$356,000. During the year, liabilities increased by \$53,800. Net income for the year was \$210,900, and net assets at the end of the year were \$585,400. There were no changes in paid-in capital during the year.
- a. Calculate the dividends, if any, declared during the year.
- b. Calculate the total assets at the end of the year.

	Assets	=	Liabilities	+	Stockholders' Equity
Beginning.....	\$	=		+	
Changes		=		+	
Ending	\$ _____	=	_____	+	_____

Solution to exercise 1.3.

1.3. Solution approach:

Remember that the retained earnings account is part of stockholders' equity, and is increased by net income decreased by dividends. Since there were no changes in paid-in capital, all of the stockholders' equity changes are the result of changes in the retained earnings account.

Net assets = Assets - Liabilities.

Stockholders'

	Assets	=	Liabilities	+	Equity
Beginning	\$ 814,500	=	\$ 356,000	+	(1)
Changes			+ 53,800	+	210,900 NI
			- (2)		DIV
Ending	\$ <u>(4)</u>	=	<u>(3)</u>	+	<u>\$585,400</u>

Steps:

1. $\$814,000 - \$356,000 = \$458,500$ beginning stockholders' equity
2. $\$458,500$ beginning + $\$210,900$ net income - dividends = $\$585,400$ ending
Dividends declared during the year = \$84,000
3. $\$356,000 + \$53,800 = \$409,800$ ending liabilities
4. $\$409,800 + \$585,400 =$ ending assets
Total assets at the end of the year = \$995,200

Alternative approach:

5. Follow steps 1 and 2 above.
6. Compute the change in assets during the year:
Asset change = $\$53,800 + \$210,900 - \$84,000$
Asset change = $\$180,700$
7. $\$814,500$ beginning assets + $\$180,700$ asset change = ending assets
Ending total assets = $\$995,200$

1.4. For each item, indicate the impact of that transaction on assets, liabilities, and equity. Assume that all transactions, unless stated otherwise, are in cash.

	Transaction	Assets (increase + or decrease -)	=	Liabilities (increase + or decrease -)	+	Equity (increase + or decrease -)
1.	Received \$50,000 cash and issued share to the owners					
2.	Paid \$40,000 cash for land					

3.	Bought \$3,700 of supplies on account				
4.	Received \$7,000 cash from customers for service revenue earned				
5.	Performed services for customers on account, \$3,000				
6.	Paid cash expenses: rent, \$1,100; employee salary, \$1,200; utilities, \$400				
7.	Paid \$1,900 on the account payable created in transaction 3				
8.	Major shareholder paid personal funds to remodel home, not a business transaction				
9.	Received \$1,000 on account				
10.	Sold land for cash at the land's cost of \$22,000				
11.	Declared and paid a dividend of \$2,100 to the stockholders				

Solution to Exercise 1.4.: For each item, indicate the impact of that transaction on assets, liabilities, and equity. Assume that all transactions, unless stated otherwise, are in cash.

	Transaction	Assets (increase + or decrease -)	=	Liabilities (increase + or decrease -)	+	Equity (increase + or decrease -)
1.	Received \$50,000 cash and issued share to the owners	+ 50,000 (cash)				+ 50,000 (SE)
2.	Paid \$40,000 cash for land	- 40,000 (cash) + 40,000 (land)				
3.	Bought \$3,700 of supplies on account	+ 3,700 (inv)		+ 3,700 (AP)		
4.	Received \$7,000 cash from customers for service revenue earned	+ 7,000 (cash)				+ 7,000 (Rev)

5.	Performed services for customers on account, \$3,000	+ 3,000 (AR)			+ 3,000 (Rev)
6.	Paid cash expenses: rent, \$1,100; employee salary, \$1,200; utilities, \$400	- 2,700 (cash)			- 2,700 (Exp)
7.	Paid \$1,900 on the account payable created in transaction 3	- 1,900 (cash)	- 1,900 (AP)		
8.	Major shareholder paid personal funds to remodel home, not a business transaction	Nil	Nil		Nil
9.	Received \$1,000 on account	+ 1,000 (cash) - 1,000 (AR)			
10.	Sold land for cash at the land's cost of \$22,000	- 22,000 (land) + 22,000 (cash)			
11.	Declared and paid a dividend of \$2,100 to the stockholders	- 2,100 (cash)			- 2,100 (SE)

Exercise 1.5. Financial Statements Preparation

Mr. Wizard's Magic Shoppe had the following condensed balance sheet at the end of operation for 2025:

Mr. Wizard's Magic Shoppe
Balance Sheet
December 31, 2025

Cash	\$40,000	Current Liabilities	\$35,000
Other current assets	60,000	Long-term Notes Payable	40,000
Total current assets	\$100,000	Bonds Payable	50,000
Investments	\$25,000	Capital Stock	150,000
Fixed assets (net)	110,000	Retained earnings	80,000
Land	\$120,000		
Total assets	\$355,000	Total Liabilities and Equity	\$355,000

During 2026, the following occurred:

- Mr. Wizard's sold some of its investments for \$13,000 which resulted in a gain of \$300 after taxes. The gain (net of taxes) has been included in the company's 2026 net income.
- Additional land for a plant expansion was purchased for \$25,000.
- Bonds payable were paid in the amount of \$10,000.
- An additional \$35,000 in capital stock was issued.
- Dividends of \$15,000 were paid to stockholders.
- Net income for 2026 was \$48,000 after allowing for \$15,000 in depreciation.
- A second parcel of land was purchased through the issuance of \$10,000 in bonds, and \$5,000 in long-term notes payable.

Required:

- a. Prepare a statement of cash flows for the year ended 12/31/2026.
(check figure: ending cash balance = \$100,700)
- b. Prepare a condensed balance sheet for Mr. Wizard's at December 31, 2026.

Solution to exercise 1.5.

Mr. Wizard's Magic Shoppe
Statement of Cash Flow
For the Year Ended December 31, 2026

Cash balance (December 31, 2025)	\$40,000
Net Income (from the statement of income)	\$48,000
Add (deduct) to reconcile net income to net cash flow:	
Depreciation Expense	15,000
Loss (Gain) from the sale of investments	(300)
Net cash inflow from operating activities	\$62,700
Cash flows from investing activities:	
Sale of Investments	13,000
Purchase of Land (25,000+10,000+5,000)	(40,000)
Net cash flow from investing activities:	(27,000)
Cash flows from financing activities:	
Issuance of capital stock	35,000
Issuance of bonds	10,000
Issuance of notes payable	5,000
Repayment of bonds payable	(10,000)
Dividends	(15,000)
Net cash flow from financing activities:	25,000
Net increase (decrease) in cash during the period	\$60,700
Cash balance (December 31, 2026)	\$100,700

Mr. Wizard's Magic Shoppe

Balance Sheet

December 31, 2026

Cash	\$100,700		Current Liabilities	\$35,000
Other current assets	60,000		Long-term Notes Payable	45,000
Total current assets	\$160,700		Bonds Payable	50,000
Investments	\$12,300		Capital Stock	185,000
Fixed assets (net)	95,000		Retained earnings	113,000
Land	\$160,000			
Total assets	\$428,000		Total Liabilities and Equity	\$428,000